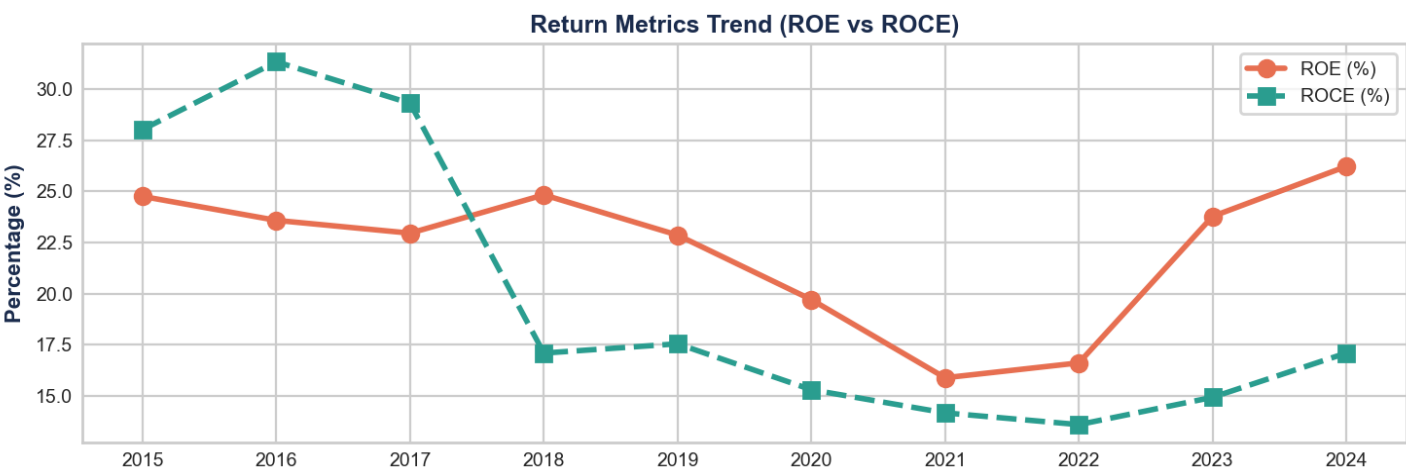
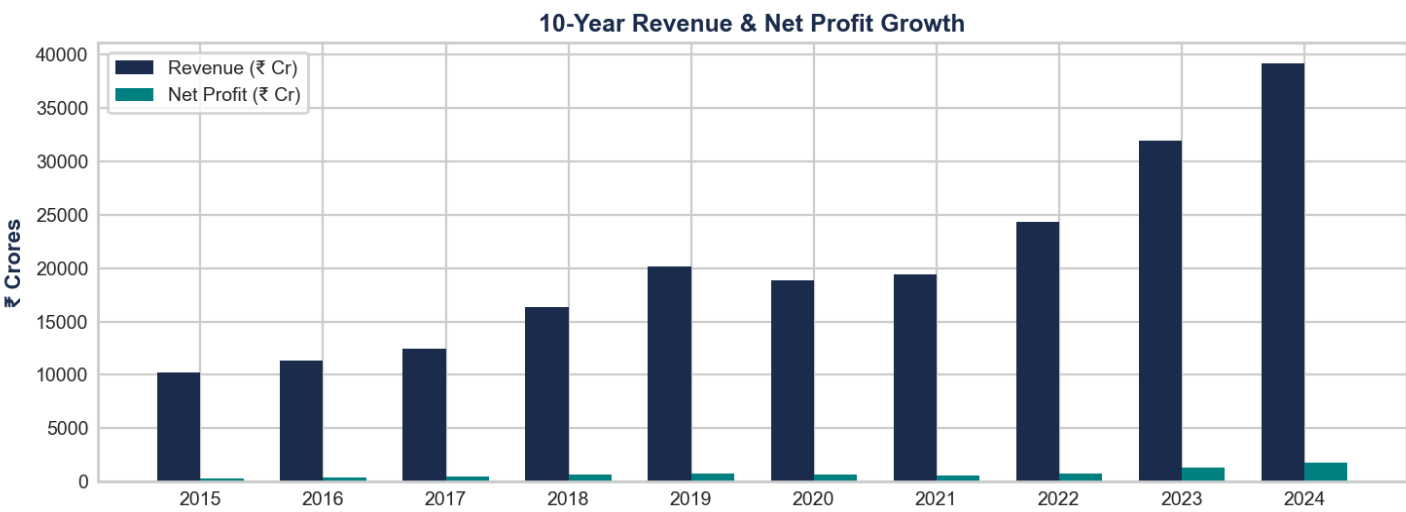


# TVS Motor Company Ltd (TVSMOTOR)

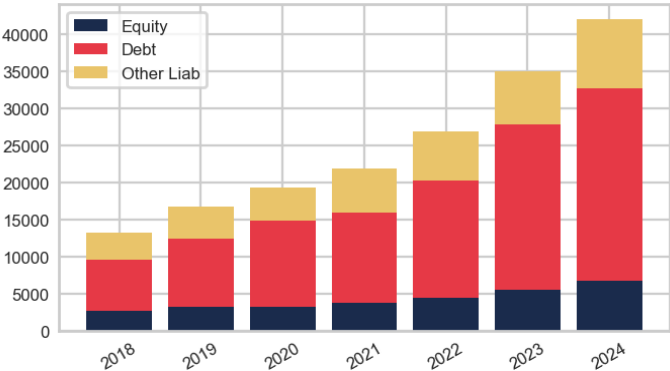
Sector: Consumer Discretionary | Two Wheelers

|                                         |                                                |                                          |
|-----------------------------------------|------------------------------------------------|------------------------------------------|
| REVENUE<br>■39,145 Cr<br>5Y CAGR: 14.2% | NET PROFIT<br>■1,779 Cr<br>5Y CAGR: 19.7%      | RETURN ON EQUITY<br>26.2%<br>ROCE: 17.1% |
| LEVERAGE (D/E)<br>3.83x<br>ICR: 2.9x    | CFO QUALITY<br>Accrual Risk<br>FCF: ■-2,254 Cr | MARKET CAP<br>■266,591 Cr<br>P/E: 46.1x  |



TVS Motor Company Ltd — Balance Sheet, Cash Flow & Qualitative Signals

Balance Sheet Composition



Cash Flow Breakdown (Latest)



KEY STRENGTHS & INVESTMENT PROS

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality

KEY RISKS & FINANCIAL CONCERNS

- Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

CAPITAL ALLOCATION PATTERN (SPRINT 2 ENGINE)

CLASSIFICATION BADGE: GROWTH FUNDED BY DEBT